

Standard Cost in Dynamics 365 Finance & Operations

This guide provides a concise walkthrough for setting up Standard cost in Microsoft Dynamics 365 Finance & Operations,

Definition

Standard cost refers to a predetermined, fixed cost assigned to an item for inventory valuation purposes. This cost is used consistently for all transactions involving that item, regardless of the actual purchase or production costs. It's a perpetual costing method where the standard cost is applied at the time of transaction, and variances (differences between actual and standard costs) are tracked and analyzed separately.

Pre-Requisites

To Setup standard cost we need to setup the followings

- Create an Item model group
- Define ledger accounts that are related to standard cost variance.
- Create a costing setup with relevant cost groups.
- Assign ledger accounts to the costing sheet setup.
- Define Inventory parameters.

Navigation Path

Module → Cost management → Indirect cost policy setup → Costing sheet

Costing Sheet

From the Action pane create a +New costing sheet

- Select the Node type total for **cost of purchase Material**.
- Select the cost group and create child if you required any
- Select the Node type total for Overhead on purchases
- Select the cost group for Overhead and create a child

Item Configuration

In the Item code field, choose:

- Select the version
- Table – Specific item

- Group – Item group
- All – All items

Then, configure the following:

- Amount- Select the unit cost for Material and OH
- From fast tab click Activate the indirect cost is activated

Step-by-Step: Create a Costing Version Setup

1 Initiate a Standard Cost

- From the Action Pane, select + New to create Standard cost.

2 Select a Costing type

- In the costing type field, select or enter **Standard cost**.
- In the Version field, select the version for standard cost.
- In the Name field, select name for standard cost.
- In the Block, select **No**.
- In the Block activation field, select **No**.

3 Item Price

- From the Action pane go to prices > Item prices to activate the prices.
- From the Action pane click New.
- In the price type field select Cost.
- In the Item number field select the item for whom you want to update the standard cost.
- You can also select the variant of the item.
- In the price tab field select the cost of the item.
- In the Price quantity tab, select the quantity for per unit calculation.
- From the Action pane click on Activate pending prices to activate the prices.

4 Purchase order

- As the standard cost is activated in the system then you can verify the variance of standard cost and cost of purchase order at the time goods receipt note.

5 Advantages of Standard Costing

Advantage	Explanation
1. Cost Control & Budgeting	Help set expected costs, making it easier to control spending and analyze variances.
2. Simplicity in Inventory Valuation	Inventory is valued at a fixed cost, simplifying calculations and reporting.
3. Easier Variance Analysis	Standard vs. actual cost differences is automatically tracked for performance evaluation.
4. Stable Pricing	Eliminates frequent cost fluctuations, providing consistent pricing for planning.
5. Predictable Financial Reporting	Fixed costs result in more predictable and easier-to-analyze financial statements.

6 Disadvantages of Standard Costing

1. Requires Regular Updates	Standard costs must be updated periodically to reflect true market conditions.
2. May Misrepresent Current Costs	If not updated, standard costs can be inaccurate compared to real costs.
3. Not Ideal for Volatile Markets	It doesn't work well in industries with frequent cost changes (e.g., commodities).
4. Complex Variance Management	It requires extra effort to analyze and manage cost variances effectively.
5. Initial Setup Can Be Time-Consuming	Defining accurate standard costs and cost versions requires effort and accuracy.

Summary

In Microsoft Dynamics 365 Finance and Operations, **Standard Cost** is a predetermined, fixed cost assigned to items for inventory valuation and cost control. It represents the expected cost of producing or purchasing an item and remains constant over a period, regardless of actual cost fluctuations. This method is useful for budgeting, variance analysis, and financial reporting. Standard cost is typically used in manufacturing environments to track cost deviations between

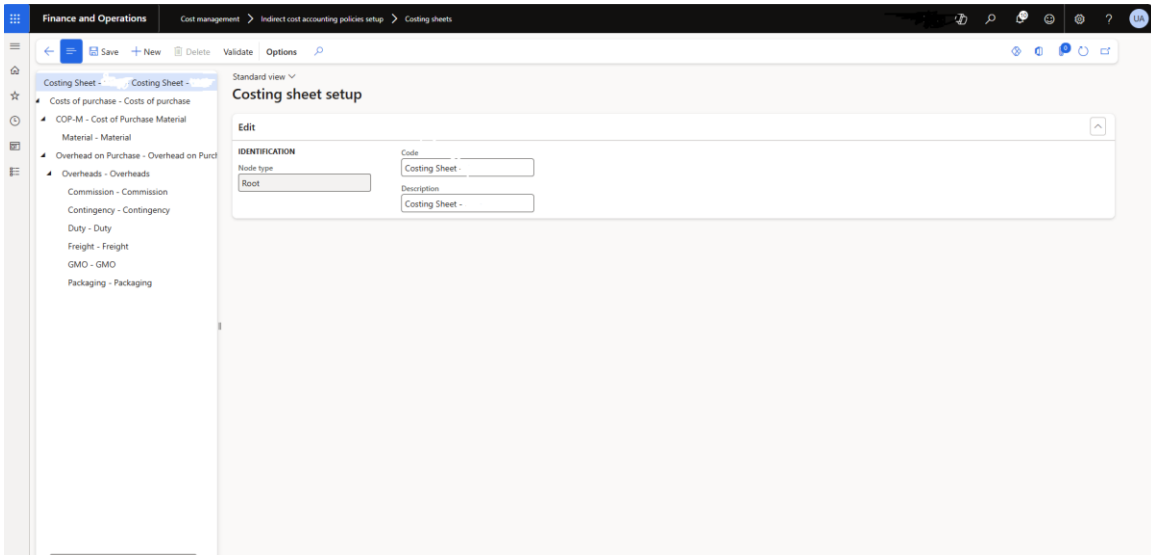
expected and actual performance. Any differences (variances) between the standard and actual costs are recorded and analyzed to support cost management decisions.

The screenshot shows the 'Item model groups' setup page in Dynamics 365 Finance and Operations. The breadcrumb trail is 'Finance and Operations > Cost management > Inventory accounting policies setup > Item model groups'. The left sidebar shows a filter and a list with 'Standard-S' selected. The main area is titled 'Item model groups' and shows the 'Standard-S' group. The 'Costing method & cost recognition' section includes: 'INVENTORY POLICY' with 'Stocked product' checked; 'INVENTORY MODEL' with 'Standard cost' selected; 'COST PRICE' with 'Include physical value' and 'Fixed receipt price' unchecked; 'RECOGNITION OF COST' with 'Post to Deferred Revenue Account on Sales Delivery' unchecked and 'Accrue liability on product receipt' checked; and 'LEDGER INTEGRATION' with 'Post physical inventory' and 'Post financial inventory' checked. The 'Inventory policies' section includes: 'NEGATIVE INVENTORY' with 'Physical negative inventory' unchecked and 'Financial negative inventory' checked; 'WAREHOUSE MANAGEMENT' with 'Quarantine management' unchecked; 'PHYSICAL UPDATE' with 'Registration requirements' unchecked; 'Receiving requirements', 'Picking requirements', and 'Deduction requirements' unchecked; 'RESERVATION' with 'FIFO date-controlled' and 'Backward from ship date' unchecked; 'Same batch selection' and 'Consolidate requirement' unchecked; 'FEFO date-controlled' checked; 'BATCH DISPOSITION CODE' with 'Batch disposition code' set to a blank field; 'VENDOR BATCH' with 'Purchase registration' unchecked; 'APPROVED VENDOR LIST' with 'Approved vendor check method' set to 'No check'; and 'OVERRIDE ITEM PRODUCTION RESERVATION' with 'Reservation' set to a blank field. The 'Item sales reservation' dropdown is set to 'Default'.

▲ Screenshot from Dynamics 365 F&O

The screenshot shows the 'Cost groups' setup page in Dynamics 365 Finance and Operations. The breadcrumb trail is 'Finance and Operations > Cost management > Inventory accounting policies setup > Cost groups'. The left sidebar shows a filter and a list with 'Material' selected. The main area is titled 'Cost groups' and shows the 'Material' group. The 'General' section includes 'Cost group type' set to 'Direct materials', 'Behavior' set to 'Variable cost', and 'Default' set to 'Yes'. The 'Profit' section shows a table with two rows: 'Profit-setting' and 'Standard'. The 'Standard' row has a 'Profit percenta...' value of '0.00'. The table has columns for 'Profit-setting' and 'Profit percenta...'.

▲ Screenshot from Dynamics 365 F&O



▲ Screenshot from Dynamics 365 F&O

Standard view

Costing sheet setup

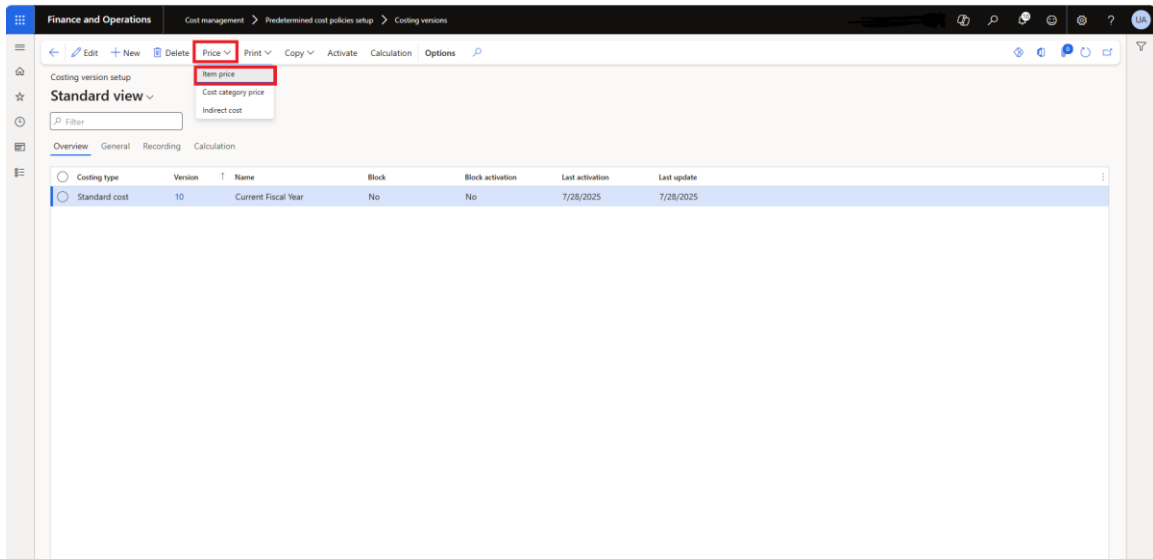
☐ Code
☒ Material

Rate

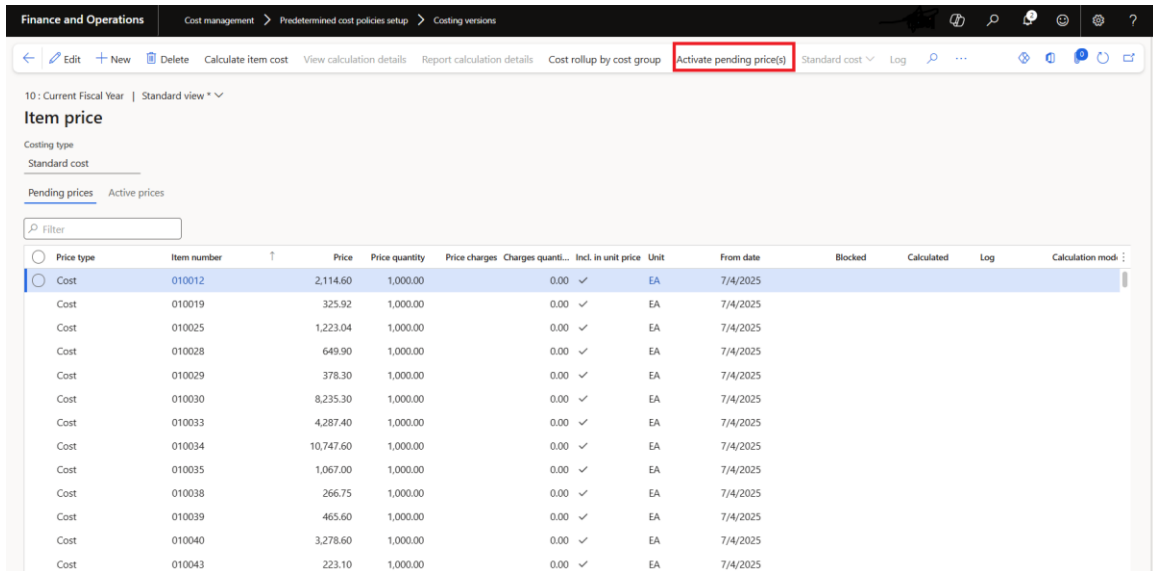
[+ New](#) [Delete](#) [Activate](#)

	Status	Version	Version name	Valid for	Relation	Amount	From date	Blocked
☐	Pending	10	Current Fiscal Year	Table	D0AYB-E1	0.09	5/14/2025	
☐	Pending	10	Current Fiscal Year	Table	D0AYB-E1	0.09	5/16/2025	
☐	Pending	10	Current Fiscal Year	Table	D0AYB-E1	0.09	6/19/2025	
☐	Current active	10	Current Fiscal Year	Table	D0AYB-E1	0.09	5/26/2025	✓
☐	Pending	10	Current Fiscal Year	Table	D0BGX-S2	0.13	5/6/2025	
☐	Pending	10	Current Fiscal Year	Table	D0BGX-S2	0.06	5/10/2025	

▲ Screenshot from Dynamics 365 F&O



▲ Screenshot from Dynamics 365 F&O



▲ Screenshot from Dynamics 365 F&O

Finance and Operations

Cost management

>

Predetermined cost policies setup

>

Costing versions

←

+ New

🗑 Delete

Calculate item cost

View calculation details

Report calculation details

Cost rollup by cost group

Activate pending price(s)

Standard cost

Log

🔍

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⚙

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🔄

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10 : Current Fiscal Year

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Standard view * ▾

Item price

Costing type

Standard cost

Pending prices

Active prices

🔍 Filter

☐ Show latest only

Price type	Item number	Price	Price quantity	Price charges	Charges quanti...	Ind. in unit price	Unit	Activation date	Blocked	Calculated	Log	Calculation mod
☒ Cost	14002066	9,999.99	1,000.00		0.00	✓	PCE	8/12/2025	✓			
Cost	14002066	999,999.00	1,000.00		0.00	✓	PCE	8/12/2025	✓			
Cost	M1003-42	85,646.20	1,000.00	14,281.12	1,000.00	✓	PK	8/7/2025	✓			
Cost	13118000	399.00	1,000.00		0.00	✓	PCE	8/7/2025	✓			
Cost	17801192	17.02	1,000.00		0.00	✓	PCE	8/6/2025	✓			
Cost	13118189x	1,900.00	1,000.00		0.00	✓	PCE	8/6/2025	✓			
Cost	T0691-50	82,430.68	1,000.00	13,940.28	1,000.00	✓	PK	8/6/2025	✓			
Cost	T1648-50	268,564.81	1,000.00	85,507.51	1,000.00	✓	PK	8/6/2025	✓			
Cost	T0692-50	213,453.70	1,000.00	59,442.70	1,000.00	✓	PK	8/6/2025	✓			
Cost	T1676-50	107,658.00	1,000.00	13,452.00	1,000.00	✓	PK	8/4/2025	✓			
Purchase price	T1676-50	107,658.00	1,000.00	13,452.00	1,000.00	✓	PK	8/4/2025	✓			
Cost	T1676-50	107,655.90	1.00		0.00	✓	PK	7/31/2025	✓			
Cost	T1676-50	107,655.90	1,000.00		0.00	✓	PK	7/31/2025	✓			

▲ Screenshot from Dynamics 365 F&O